JOYLIVE ASIA PACIFIC PTE. LTD.
(Registration No. 201602070G)
(Incorporated in the Republic of Singapore)

AUDITED FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

T&C PARTNERS
CHARTERED ACCOUNTANTS

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

CORPORATE INFORMATION
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

Director

Teo Eng Hock

Company Secretary

Yang Yujie

Registered Office

26B Serangoon Avenue 1
Singapore 556143

Independent Auditor

T&C Partners

Engagement partner: Chor Chung Heong

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JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTOR'S STATEMENT

The director is pleased to present the statement to the member together with the audited financial statements of Joylive Asia Pacific Pte. Ltd. (the "Company") for the financial year ended 31 December 2023.

1. OPINION OF THE DIRECTOR

In the opinion of the director,

(a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2023 and the financial performance, changes in equity and cash flows of the Company for the year then ended; and

(b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

2. SOLE DIRECTOR

The director of the Company in office at the date of this statement is:

Teo Eng Hock (Appointed on 6 June 2023)

3. ARRANGEMENTS TO ENABLE DIRECTOR TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the director of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

4. DIRECTOR'S INTERESTS IN SHARES OR DEBENTURES

According to the register of director's shareholdings kept by the Company under Section 164 of the Singapore Companies Act 1967 (the Act), the director of the Company who held office at the end of the financial year had no interests in the shares or debentures of the Company and its related corporations.

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JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTOR'S STATEMENT (CONT'D)

5. SHARE OPTIONS

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

6. AUDITOR

T&C Partners has expressed its willingness to accept re-appointment as auditor.

The Sole Director

DocuSigned by:

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Teo Eng Hock
Director

Singapore

14 JUN 2024

T&C PARTNERS
CHARTERED ACCOUNTANTS

T&C PARTNERS
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INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

Report on the Audit of the Financial Statements

Disclaimer Opinion

We were engaged to audit the financial statements of Joylive Asia Pacific Pte. Ltd. (the "Company"), which comprise the statement of financial position of the Company as at 31 December 2023, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

We do not express an opinion on the accompanying financial statements of the Company. Because of the significance of the matters described in the *"Basis for Disclaimer of Opinion"* section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

Basis for Disclaimer of Opinion

Going concern

As at 31 December 2023, the Company's total current liabilities exceeded its total current assets by S$265,469 (2022: S$175,645) and capital deficiency of S$92,500 (2022: S$175,645). These factors indicate the existence of material uncertainties which cast a significant doubt on the Company's ability to operate as going concern. They may affect the validity of the going concern assumption on which the accompanying financial statements prepared. The validity of the going concern assumption on which the accompanying financial statements of the Company is prepared depends, inter alia, on its ability to raise additional capital from the existing shareholder.

We were not provided with sufficient appropriate audit evidence to assess whether the going concern assumption used by the Company is appropriate. In the event the going concern basis of preparing the financial statements is inappropriate, adjustment will have to be made to restate the carrying values of the assets to their recoverable amounts and to provide for further liabilities which may arise. No such adjustments have been made in the financial statements.

A similar qualification was also expressed in the prior year audited financial statements. Any adjustment arising from the satisfactory resolution of this matter reported may have an effect on the opening balances and a consequently effect on the financial statements and financial performance for the current financial year.

Other Matter

The financial statements for the financial year ended 31 December 2022 were audited by another firm of chartered accountants who expressed a disclaimer opinion on those statements on 13 April 2023. The details of the disclaimer opinion are disclosed in Note 19 to the financial statements.

T&C PARTNERS
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

Responsibilities of Management and Director's for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Companies Act 1967 (the Act) and Financial Reporting Standards in Singapore (FRSs), and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The director's responsibilities include overseeing the company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our responsibility is to express an opinion on these financial statements based on our audit in accordance with Singapore Standards on Auditing. Because of the matter described in the *"Basis for Disclaimer of Opinion"* section of our report, however, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion.

We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code.

Report on Other Legal and Regulatory Requirements

In our opinion, except for the effect of matter described in the *"Basis for Disclaimer of Opinion"* section of our report, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

T&C Partners
Public Accountants and
Chartered Accountants

Singapore
14 June 2024

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	Note	2023 S$	2022 S$
Revenue	(4)	444,341	-
Cost of sales		(355,186)	-
Gross profit		89,155	-
Other income	(5)	2,645	537
Other expenses		(8,655)	(4,136)
Profit/(Loss) before tax	(6)	83,145	(3,599)
Income tax expense	(7)	-	-
Profit/(Loss) for the financial year, representing total comprehensive income/(loss) for the financial year		83,145	(3,599)

The accompanying notes form an integral part of these financial statements.

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2023

	Note	2023 S$	2022 S$
ASSETS			
Non-current asset			
Investment in a subsidiary	(8)	172,969	-
Current asset			
Cash at bank	(9)	88,948	35,752
Total assets		261,917	35,752
EQUITY AND LIABILITIES			
Equity			
Share capital	(10)	500,000	500,000
Share application money	(11)	200,000	200,000
Accumulated losses		(792,500)	(875,645)
Equity attributable to owner of the Company		(92,500)	(175,645)
Current liabilities			
Trade payable	(12)	238,720	98,000
Other payables and accruals	(13)	115,697	113,397
		354,417	211,397
Total liabilities		354,417	211,397
Total equity and liabilities		261,917	35,752

The accompanying notes form an integral part of these financial statements.

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	Share capital S$	Share application money S$	Accumulated losses S$	Total S$
At 1 January 2022	500,000	200,000	(872,046)	(172,046)
Loss for the financial year, representing total comprehensive loss for the financial year	-	-	(3,599)	(3,599)
At 31 December 2022	500,000	200,000	(875,645)	(175,645)
At 1 January 2023	500,000	200,000	(875,645)	(175,645)
Profit for the financial year, representing total comprehensive income for the financial year	-	-	83,145	83,145
At 31 December 2023	500,000	200,000	(792,500)	(92,500)

The accompanying notes form an integral part of these financial statements.

JOYLIVE ASIA PACIFIC PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	2023 S$	2022 S$
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit/(Loss) before tax, representing operating profit/(loss) before working capital changes	83,145	(3,599)
Trade payable	140,720	-
Other payables and accruals	2,300	(165)
Net cash generated from/(used in) operating activities	226,165	(3,764)
CASH FLOW FROM INVESTING ACTIVITY		
Investment in a subsidiary, representing net cash used in investing activity	(172,969)	-
Net increase/(decrease) in cash and cash equivalents	53,196	(3,764)
Cash and cash equivalents at beginning of financial year	35,752	39,516
Cash and cash equivalents at end of financial year	88,948	35,752

Note: Cash and cash equivalents comprise bank balances.

The accompanying notes form an integral part of these financial statements.

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. CORPORATE INFORMATION

Joylive Asia Pacific Pte. Ltd. (the "Company") is incorporated and domiciled in Singapore with its registered office and principal place of business at 26B Serangoon Avenue 1, Singapore 556143.

The principal activities of the Company are those of installation, selling, repair and servicing of elevator.

The immediate and ultimate holding company is Joylive Elevator Co., Ltd, which is incorporated in China.

2. MATERIAL ACCOUNTING POLICY INFORMATION

2.1 Basis of preparation

The financial statements of the Company have been drawn up in accordance with Financial Reporting Standards in Singapore (FRSs). The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in Singapore Dollars ("S$"), which is the Company's functional currency.

The financial statements of the Company have been prepared on the basis that it will continue to operate as a going concern.

2.2 Adoption of new and amended standards and interpretations

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial periods beginning on or after 1 January 2023. The adoption of these standards did not have any material effect on the financial performance or position of the Company.

2.3 Standards issued but not yet effective

A number of new standards and amendments to standard that have been issued are not yet effective and have not been applied in preparing these financial statements.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.3 Standards issued but not yet effective (cont'd)

Description	Effective for annual periods beginning on or after
Amendments to FRS 1 *Presentation of Financial Statements*: Classification of Liabilities as Current or Non-current	1 January 2024
Amendments to FRS 116 *Leases*: Lease Liability in a Sale and Leaseback	1 January 2024
Amendments to FRS 1 *Presentation of Financial Statements*: Non-current Liabilities with Covenants	1 January 2024
Amendments to FRS 7 *Statement of Cash Flows and FRS 107 Financial Instruments: Disclosures*: Supplier Finance Agreements	1 January 2024
Amendments to FRS 21 *The Effects of Changes in Foreign Exchange Rates*: Lack of Exchangeability	1 January 2025
Amendments to FRS 110 Consolidated Financial Statements and FRS 28 Investments in Associates and Joint Ventures: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Date to be determined

The director expects that the adoption of the new and amended standards above will have no material impact on the financial statements in the year of initial application.

2.4 Foreign currency transactions and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.5 Revenue recognition

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.5 Revenue recognition (cont'd)

Sale of goods

Revenue from sale of goods is recognised at a point-in-time upon the transfer of significant risks and rewards of ownership of the goods to the customers. Revenue is not recognised to extent where there are significant uncertainties regarding the recovery of the consideration due, associated cost or possible return of goods.

2.6 Consolidated financial statements and holding companies

Consolidated financial statements have not been prepared to consolidate the financial statements of its subsidiary as the Company is a wholly-owned subsidiary of Joylive Elevator Co., Ltd, which is incorporated in China, prepares consolidated financial statements which are available for public use. The consolidated financial statements can be obtained from Junziting West Road, Zhengyi Town, Kunshan, Jiangsu Province, 215300 China.

Subsidiaries are entities controlled by the Company. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

In the Company's financial statements, investment in a subsidiary is carried at cost less accumulated impairment losses, if any.

2.7 Taxes

(a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

(b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.7 Taxes (cont'd)

(b) Deferred tax (cont'd)

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

2.8 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, (or, where applicable, when an annual impairment testing for an asset is required), the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

2.9 Financial instruments

(a) Financial assets

Initial recognition and measurement

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at Fair Value through Profit or Loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.9 Financial instruments (cont'd)

(a) Financial assets (cont'd)

Subsequent measurement

Debt instruments

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the assets. The three measurement categories for classification of debt instruments are amortised cost, Fair Value through Other Comprehensive (FVOCI) and FVPL. The Company only has debt instruments at amortised cost.

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through the amortisation process.

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

(b) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at FVPL, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.9 Financial instruments (cont'd)

(b) Financial liabilities (cont'd)

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

2.10 Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-months ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

The Company may consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2.11 Cash and cash equivalents

Cash and cash equivalents comprise cash at banks which are subject to an insignificant risk of changes in value. These also include bank overdrafts that form an integral part of the Company's cash management.

2.12 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.13 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgements made in applying accounting policies

(a) Determination of functional currency

In determining the functional currency of the Company, judgement is used by the Company to determine the currency of the primary economic environment in which the Company operates. Consideration factors include the currency that mainly influences sales prices of goods and services and the currency of the country whose competitive forces and regulations mainly determines the sales prices of its goods and services.

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES (CONT'D)

3.2 Key sources of estimation uncertainty (cont'd)

(a) Impairment of investment in a subsidiary

The management follows the guidance of FRS 36 – Impairment of Assets, in determining whether investment in a subsidiary is impaired requires assumption to be made regarding the duration and extent to which the fair value of an investment is less than costs and the financial health of and near-term business outlook for the investment, including factors such as industry and sector performance, changes in technology and operational and financing cash flow.

Management's assessment for impairment of investment in a subsidiary is based on the estimation of value in use of the cash generating unit ('CGU") by forecasting the expected future cash flows, using a suitable discount rate in order to calculate the present value of those cash flows.

The carrying amounts of investment in a subsidiary are disclosed in Note 8 to the financial statements.

(b) Income tax

Significant judgement is involved in determining the provision for income tax. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

4. REVENUE

	2023 S$	2022 S$
Type of goods		
Sale of goods	444,341	-
Timing of transfer of goods		
At a point in time	444,341	-

5. OTHER INCOME

	2023 S$	2022 S$
Foreign exchange gain	2,645	527
Interest income	-	10
	2,645	537

6. PROFIT/(LOSS) BEFORE TAX

Profit/(Loss) before tax has been arrived at after charging:

	2023 S$	2022 S$
Professional fees	6,500	4,000

7. INCOME TAX EXPENSE

Relationship between tax expense and accounting profit/(loss)

A reconciliation between tax expense and the product of accounting profit/(loss) multiplied by the applicable corporate tax rate for the financial years ended 31 December 2023 and 2022 were as follows:

	2023 S$	2022 S$
Profit/(Loss) before tax	83,145	(3,599)
Income tax using the statutory tax rate of 17%	14,135	(612)
Adjustments:		
- Non-deductible expenses	-	612
- Income not subject to tax	(450)	-
- Utilisation of unabsorbed tax losses	(13,685)	-
Income tax expense recognised in profit or loss	-	-

Deferred tax assets not recognised

The component of deferred tax assets not recognised is as follows:

	2023 S$	2022 S$
Unabsorbed tax losses	123,521	137,206

7. INCOME TAX EXPENSE (CONT'D)

Deferred income tax assets are recognised for tax losses carried forward to the extent that realisation of the related tax benefits through future taxable profits is probable. The Company has unrecognised tax losses of S$726,597 (2022: S$807,097) at the reporting date which can be carried forward and used to offset against future taxable income subject to meeting certain statutory requirements. The tax losses have no expiry date.

8. INVESTMENT IN A SUBSIDIARY

	2023 S$	2022 S$
Unquoted equity shares, at cost	172,969	-

Details of the subsidiary are as follows:

Name of subsidiary	Principal activities	Country of incorporation and place of business	Effective equity interest held	
			2023 %	2022 %
* Joylive Technology Vietnam Company Limited	Import and wholesale of distribution of goods	Vietnam	100	-

* *Not acting as auditors*

9. CASH AT BANK

Cash at bank is denominated in the following currencies:

	2023 S$	2022 S$
Singapore Dollar	35,648	31,456
United States Dollar	53,300	4,296
	88,948	35,752

10. SHARE CAPITAL

	2023 S$	2022 S$
Issued and fully paid		
500,000 (2022: 500,000) ordinary shares	500,000	500,000

10. SHARE CAPITAL (CONT'D)

The holder of ordinary shares is entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

11. SHARE APPLICATION MONEY

	2023 S$	2022 S$
Fund received		
At 1 January and 31 December	200,000	200,000

Share application money relates to fund received in advance towards proposed further increase of share capital in the following financial year.

12. TRADE PAYABLE

	2023 S$	2022 S$
Immediate and ultimate holding company	238,720	98,000

Trade payable is non-interest bearing and normally settled on 90 days' (2022: 90 days') terms.

Trade payable is denominated in the following currencies:

	2023 S$	2022 S$
Singapore Dollar	98,000	98,000
United States Dollar	140,720	-
	238,720	98,000

13. OTHER PAYABLES AND ACCRUALS

	2023 S$	2022 S$
Amount due to immediate and ultimate holding company	60,372	60,372
Amount due to a related party	49,025	49,025
Accruals	6,300	4,000
	115,697	113,397

Amounts due to immediate and ultimate holding company and a related party are non-trade in nature, unsecured, interest-free and repayable on demand.

13. OTHER PAYABLES AND ACCRUALS (CONT'D)

Other payables and accruals are denominated in the following currencies:

	2023 S$	2022 S$
Singapore Dollar	51,300	49,000
United States Dollar	64,397	64,397
	115,697	113,397

14. SIGNIFICANT RELATED PARTY TRANSACTIONS

A related party is defined as follows:

(a) A person or a close member of that person's family is related to the Company, if that person:

- (i) has control or joint control over the Company;
- (ii) has significant influence over the Company; or
- (iii) is a member of the key management personnel of the Company or of a parent of the Company.

(b) An entity is related to the Company if any of the following conditions applies:

- (i) The entity and the Company are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others);
- (ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member);
- (iii) Both entities are joint ventures of the same third party;
- (iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity;
- (v) The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company. If the Company is itself such a plan, the sponsoring employers are also related to the Company;
- (vi) The entity is controlled or jointly controlled by a person identified in (a);
- (vii) A person identified in (a)(i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity); and
- (viii) The entity, or any member of a group of which it is a part, provides key management personnel services to the Company or to the parent of the Company.

In addition to the related party information disclosed elsewhere in the financial statements, the following transactions with related parties took place at terms agreed between the parties during the financial year:

	2023 S$	2022 S$
With immediate and ultimate holding company		
Purchases	355,186	-

15. FINANCIAL RISK MANAGEMENT

The Company's activities expose it to a variety of financial risks from its operations. The key financial risks include market risk (including interest rate risk, foreign currency risk and price risk), credit risk and liquidity risk.

The director reviews and agrees policies and procedures for the management of these risks, which are executed by the management team. It is, and has been throughout the current and previous financial year, the Company's policy that no trading in derivatives for speculative purposes shall be undertaken.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risks.

(a) Market risk

Market risk is the risk that changes in market prices, such as interest rates and foreign exchange rates will affect the Company's income. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of the Company's financial instruments will fluctuate because of changes in market interest rates. The Company's exposure to interest rate risk arises primarily from cash at bank.

The Company does not expect any significant effect on the Company's profit or loss arising from the effects of reasonably possible changes to interest rates on interest bearing financial instruments at the end of the financial year. Accordingly, sensitivity analysis is not disclosed.

(ii) Foreign currency risk

The Company's foreign exchange risk results mainly from cash flows from transactions denominated in foreign currencies. At present, the Company does not have any formal policy for hedging against currency risk.

The Company has transactional currency exposures arising from cash at bank, trade payable and other payables and accruals that are denominated in currency other than the functional currency of the Company, primarily the United States Dollar ("USD").

Information on the Company's currency exposures are detailed in Notes 9, 12 and 13 to the financial statements.

The Company's currency exposures to the USD at the reporting date were as follows:

15. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Market risk (cont'd)

(ii) Foreign currency risk (cont'd)

	2023 USD S$	2022 USD S$
Financial asset		
Cash at bank	53,300	4,296
	53,300	4,296
Financial liabilities		
Trade payable	(140,720)	-
Other payables and accruals	(64,397)	(64,397)
	(205,117)	(64,397)
Currency exposures	(151,817)	(60,101)

A 10% strengthening of Singapore Dollar against the foreign currency denominated balances as at the reporting date would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

	Profit or loss (after tax)	
	2023 S$	2022 S$
United States Dollar	(12,601)	(4,988)

A 10% weakening of Singapore Dollar against the above currency would have had equal but opposite effect on the above currency to the amounts shown above, on the basis that all other variables remain constant.

(iii) Price risk

The Company is not exposed to price risk as the Company does not hold any listed securities.

15. FINANCIAL RISK MANAGEMENT (CONT'D)

(b) Credit risk

Financial assets that are potentially subject to concentrations of credit risk and failures by counterparties to discharge their obligations in full or in a timely manner. These arise principally from cash and cash equivalents. The maximum exposure to credit risk is the total of the fair value of the financial assets at the end of the reporting year. Credit risk on cash balances with banks is limited because the counter-parties are entities with acceptable credit ratings. For expected credit losses (ECL) on financial assets, the three-stage approach in the financial reporting standard on financial instruments is used to measure the impairment allowance. Under this approach the financial assets move through the three stages as their credit quality changes. However, a simplified approach is permitted by the financial reporting standards on financial instruments for financial assets that do not have a significant financing component, such as trade receivables. On initial recognition, a day-1 loss is recorded equal to the 12-month ECL (or lifetime ECL for trade receivables), unless the assets are considered credit impaired. For credit risk on trade receivables, an ongoing credit evaluation is performed on the financial condition of the debtors and an impairment loss is recognised in profit or loss. Reviews and assessments of credit exposure in excess of designated limits are made. Renewals and reviews of credits limits are subject to the same review process.

Cash and cash equivalents are also subject to the impairment requirements of the standard on financial instruments There was no identified impairment loss.

(c) Liquidity risk

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligation due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipts cycles. The Company finances its working capital requirements mainly through funds generated from operations and equity. The director is satisfied that funds are available to finance the operations of the Company.

Analysis of financial instruments by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial asset and liabilities at the reporting date based on contractual undiscounted repayment obligations.

15. FINANCIAL RISK MANAGEMENT (CONT'D)

(c) Liquidity risk (cont'd)

	2023		
	Carrying amount S$	Contractual cash flows S$	One year or less S$
Financial asset			
Cash at bank	88,948	88,948	88,948
Total undiscounted financial asset	88,948	88,948	88,948
Financial liabilities			
Trade payable	(238,720)	(238,720)	(238,720)
Other payables and accruals	(115,697)	(115,697)	(115,697)
Total undiscounted financial liabilities	(354,417)	(354,417)	(354,417)
Total net undiscounted financial liabilities	(265,469)	(265,469)	(265,469)

	2022		
	Carrying amount S$	Contractual cash flows S$	One year or less S$
Financial asset			
Cash at bank	35,752	35,752	35,752
Total undiscounted financial asset	35,752	35,752	35,752
Financial liabilities			
Trade payable	(98,000)	(98,000)	(98,000)
Other payables and accruals	(113,397)	(113,397)	(113,397)
Total undiscounted financial liabilities	(211,397)	(211,397)	(211,397)
Total net undiscounted financial liabilities	(175,645)	(175,645)	(175,645)

16. FINANCIAL INSTRUMENTS BY CATEGORY

At the reporting date, the aggregate carrying amounts of financial asset at amortised cost and financial liabilities at amortised cost were as follows:

	2023 S$	2022 S$
Financial asset measured at amortised cost		
Cash at bank (Note 9)	88,948	35,752
Total financial asset measured at amortised cost	88,948	35,752
Financial liabilities measured at amortised cost		
Trade payable (Note 12)	238,720	98,000
Other payables and accruals (Note 13)	115,697	113,397
Total financial liabilities measured at amortised cost	354,417	211,397

17. FAIR VALUE OF ASSETS AND LIABILITIES

Asset and liabilities not measured at fair value

Cash at bank and other payables and accruals

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

Trade payable

The carrying amount of the balance approximate its fair value as the balance is subject to normal trade credit term.

18. CAPITAL MANAGEMENT

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholder's value. The capital of the Company comprised issued share capital, share application money and accumulated losses.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholder, return capital to shareholder or issue new shares. No changes were made in the objectives, policies or processes during the during the financial years ended 31 December 2023 and 31 December 2022.

The Company monitors capital on the basis of the gearing ratio. The ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including trade payable and other payables and accruals) less cash and cash equivalents. Total capital is calculated as total equity, as shown in the statement of financial position, plus net debt.

18. CAPITAL MANAGEMENT (CONT'D)

No specific gearing ratio has been determined by management with the overall objective to keep the ratio as low as possible and such policy has not been changed since the previous financial year.

The gearing ratios at 31 December 2023 and 2022 were as follows:

	2023 S$	2022 S$
Net debt	265,469	175,645
Total equity	(92,500)	(175,645)
Total capital	172,969	-
Gearing ratio	1.53	-

The Company is not subject to any externally imposed capital requirements.

The Company's strategy remains consistent with last financial year.

19. DISCLAIMER OPINION

The audit qualifications in the auditor's report for the financial year ended 31 December 2022 were as follows:

Use of the going concern assumption

"The Company recorded a net loss of S$3,599 for the year ended 31 December 2022. As at that date, the Company's current liabilities exceeded its current assets by S$175,645 and is in capital deficiency of S$175,645. These factors and the other conditions as disclosed in Note 13 indicate the existence of material uncertainties which may cast significant doubt about the Company's ability to continue as a going concern. As disclosed in Note 2.1 to the financial statements, the directors have prepared the financial statements on a going concern basis based on the assumption that the ultimate holding company will be able to provide financial support to the Company as and when required so that the Company can meet its obligations as and when they fall due. However, based on the information available to us, we have not been able to obtain sufficient appropriate audit evidence to conclude on the appropriateness of the use of the going concern assumption to prepare the financial statements as the management accounts of the ultimate holding company indicated it is also in a net current liability position as at 31 December 2022."

20. AUTHORISATION OF FINANCIAL STATEMENTS FOR ISSUE

The financial statements for the financial year ended 31 December 2023 were authorised for issue in accordance with a resolution of the Sole Director of the Company on 14 June 2024.